

10. 9:00 AM CASE NUMBER: C25-00756

CASE NAME: JINLINAG LI VS. SNORKEL AI INC.

***MOTION/PETITION TO COMPEL ARBITRATION**

FILED BY: HIREART INC

TENTATIVE RULING:

Before the Court is a motion by defendant HireArt, Inc. to compel arbitration and stay the proceedings, and a joinder in the motion filed by defendant Snorkel AI. For the reasons set forth, the motion is **GRANTED**. Plaintiff's claims against defendants HireArt, Inc. and Snorkel AI shall be referred to arbitration, and the action shall be **STAYED** pending completion of the arbitration, except for periodic case management conferences for the parties to apprise the Court regarding the status of the arbitration.

Background

In his second amended complaint filed on October 14, 2025 ("2AC"), Plaintiff alleges that he was jointly employed by defendants Snorkel AI, Inc. and HireArt, Inc. pursuant to the Independent Contractor Agreement dated January 7, 2025 ("ICA"), a copy of which is attached to his 2AC as Exhibit A. He alleges a cause of action for breach of contract against HireArt, a cause of action for "breach of oral/implied in fact contract" against Snorkel, and claims against HireArt and Snorkel as joint employers under the Labor Code for failure to pay him wages, wait time penalties, failure to provide accurate wage statement, misclassification as independent contractor, and intentional infliction of emotional distress.

Defendant HireArt filed a motion to compel arbitration of Plaintiff's claims alleged in the 2AC against both HireArt and Snorkel and to stay the proceedings in the case pending completion of the arbitration. Co-defendant Snorkel AI has filed a joinder in the motion. Plaintiff opposes the motion and the joinder.

Procedures for Enforcement of Arbitration Agreement

Whether the arbitration agreement is governed by the Federal Arbitration Act, 9 U.S.C. section 1, *et seq.* ("FAA") or by the California Arbitration Act, Code of Civil Procedure section 1280 *et seq.* ("CAA"), the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law, including whether defenses to enforcement of a contract, such as waiver, bar the enforcement of the arbitration agreement, as discussed in more detail below. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 582.) The party moving to compel arbitration "bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.]" (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) (See also *Rosenthal, supra*, 14 Cal.4th at 413.) The Court as the trier of fact weighs the evidence in reaching a final determination regarding the validity and enforceability of the arbitration agreement. (*Engalla, supra*, 15 Cal.4th at 972.)

Once the existence of an arbitration agreement is established, the burden is on the party opposing

arbitration to prove a defense to its enforcement. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126; *Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, supra*, 8 Cal.5th at 125; Code Civ. Proc. § 1281 [written agreement to arbitrate "is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract"]; 9 U.S.C. § 2 [an arbitration agreement is "valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract . . ."].)

Analysis

A. No Waiver of Right to Arbitrate

Plaintiff contends HireArt waived the right to compel him to arbitrate because of its participation in the case. In *Quach, supra*, 16 Cal.5th 562, the Court addressed the standard for showing a waiver of the right to arbitrate, which it held is the same standard whether the FAA or the CAA applies and is governed by "generally applicable state law contract principles." (*Id.* at 572, 576.) The Court explained, "To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (*Id.* at 584 [emphasis added].) The "clear and convincing evidence" standard of proof requires a showing that it is "highly probable" the fact is true. (*Id.* at 584 [emphasis added].)

Proof of waiver can be satisfied by evidence of words of the defendant expressing "an intent to relinquish the right" to arbitrate or with evidence that the defendant's conduct was "so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude the party had abandoned" the right to compel arbitration. (*Id.* [emphasis added].) The exclusive focus of the determination of waiver is the waiving party's conduct; "neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant. [Citation omitted.]" (*Id.* at 585.) The Court also warned against courts conflating under the general catch-all term "waiver" distinct legal defenses such as forfeiture or estoppel. (*Id.* at 583-584.)

Plaintiff filed an initial complaint and then a first amended complaint on March 26, 2025. The Court's records show HireArt filed an answer to the first amended complaint ("FAC") on April 30, 2025 and then a motion to compel arbitration on July 10, 2025 before any case management conference or other hearing was held. Plaintiff incorrectly asserts that HireArt's answer to the FAC did not reserve any right to arbitration; the second affirmative defense in the April 30, 2025 answer expressly asserts Plaintiff's claims are subject to binding arbitration as his exclusive remedy. (4/30/2025 Ans. ¶ 2, p. 2, ll. 19-24.) HireArt explains it withdrew its initial motion to compel arbitration because Plaintiff filed his 2AC asserting additional causes of action, and on November 13, 2025, HireArt promptly refiled its motion to compel arbitration within 30 days after the 2AC was filed. HireArt's attendance and participation in two case management conferences or responding to Plaintiff's discovery (not propounding discovery to Plaintiff) does not support a finding of waiver under the standards stated in *Quach*. HireArt has not waived the right to compel Plaintiff's claims to arbitration.

B. Existence of An Arbitration Agreement with HireArt

Plaintiff does not dispute that he signed the ICA with the Arbitration Agreement and that the ICA

reflects his contract with HireArt for the services subject to his claims in his operative complaint. His declaration in support of his opposition admits he signed and entered into the ICA with HireArt for Snorkel's project. He has attached a copy of which is attached as an exhibit to his 2AC, and he has sued HireArt for breach of contract based on the ICA in his first cause of action of his 2AC. A copy of the ICA is also attached as Exhibit G to the Howe Declaration filed in support of the motion. Plaintiff does not dispute that in the ICA is the "Mutual Arbitration Agreement," which is paragraph 12 ("Arbitration Agreement") of the ICA. (Howe Decl. ¶ 24 and Exh. G.) Snorkel AI is not a party to the ICA, but Snorkel contends Plaintiff's claims against it are also subject to arbitration under the Arbitration Agreement on various theories and based on applicable case law. The Court addresses Snorkel below.

C. The FAA Governs

The Arbitration Agreement states the FAA "governs the terms of the Mutual Arbitration Agreement." (ICA ¶ 12.a.) This language in the Arbitration Agreement means the Arbitration Agreement is subject to the FAA. (See, e.g., *Barrera v. Apple American Group LLC* (2023) 95 Cal.App.5th 63, 72 [finding FAA governed arbitration agreement that stated that "the Federal Arbitration Act shall govern the interpretation, enforcement, and proceedings under this Agreement."].) HireArt has also presented undisputed evidence that its business involves interstate commerce, which also supports that the FAA governs the Arbitration Agreement. (Howe Decl. ¶¶ 2 [temp-to-hire workers nationwide], 4 [principal place of business in New York], 5-7; 9 U.S.C. § 1; *Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 55-57 [the term "involving commerce" in the FAA is "the functional equivalent of the more familiar term 'affecting commerce'--words of art that ordinarily signal the broadest permissible exercise of Congress' Commerce Clause power. [Citation omitted.], " holding the FAA applied to debt restructuring agreements even though the individual transactions in that case may not have actually been in interstate commerce]; *Allied-Bruce Terminix Cos., Inc. v. Dobson* (1995) 513 U.S. 265, 273-274 [broadly construing "involving interstate commerce" to mean "affecting" interstate commerce, holding the FAA governed an arbitration agreement between a homeowner and local pest control company where the treatment products and repair materials were shipped from out of state].)

D. Delegation Clause and Unconscionability

Parties may agree to have the arbitrator rather than a court determine the "gateway" issues of arbitrability. (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 891.) There are two requirements for a delegation clause to be enforced. The first requirement is that the delegation clause be "clear and unmistakable." (*Id.* at 891-892; *Rent-A-Center, W., Inc., supra*, 561 U.S. at 71 [in which the delegation provision "gave the arbitrator 'exclusive authority to resolve any dispute relating to the . . . enforceability . . . of this Agreement' ," language also present in paragraph 12.b of the Arbitration Agreement].)

The second requirement for an effective delegation clause is that the delegation clause "cannot be revocable on state law grounds such as fraud, duress, or unconscionability. [Citations omitted.]" (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 242.) The Court explained that any claim of unconscionability to defeat the effectiveness of the clause based on the second requirement "must be *specific to the delegation clause*." (*Id.* at 244 [italics in original, citing *Rent-A-Center, supra*, 561 U.S. at 73.]) "[A] party's challenge to the arbitration agreement does not invalidate the delegation clause,

and therefore the arbitrator, and not a court, must consider any challenge to the arbitration agreement as a whole. [Citation omitted.] Stated another way, *Rent-A-Center* acknowledges that while courts may consider enforceability challenges specific to delegation clauses, the arbitrator is to consider challenges to the arbitration agreement as a whole. (*Tiri, supra*, 226 Cal.App.4th at 240, citing *Rent-A-Center, supra*, 561 U.S. at 71, 73.)

The Court in *Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, cited by HireArt, followed this two-step process in a case in which the plaintiff challenged an arbitration agreement contained in an employee handbook in which there was a delegation clause. (*Id.* at 1559–1560.) The plaintiff argued the arbitration agreement and the delegation clause could not be enforced on the grounds of unconscionability. (*Id.* at pp. 1556–1557.) The Court of Appeal held it was proper for the trial court to decide the unconscionability challenge to the delegation clause, and the Court of Appeal found the plaintiff's unconscionability challenges to the delegation clause were unmeritorious. (*Id.* at pp. 1559–1571.) As a result, the Court held the delegation clause was enforceable, and the motion to compel arbitration was properly granted by the trial court, leaving it up to the arbitrator to address the unconscionability or other challenges to the arbitration agreement and the broader employment agreement. (*Id.* at pp. 1570–1571.)

Plaintiff cites *Raines v. U.S. Healthworks Medical Group* (2023) 15 Cal.5th 268 for the proposition that an arbitration agreement "obtained through intentional misclassification" of an employee to evade wage and hours laws is unenforceable. (Opp. to Mot. Section B.) The case does not make that holding or stand for that proposition. The case involved an issue certified to the California Supreme Court for decision as to the meaning of "employer" under the Fair Employment and Housing Act, Government Code section 12900 et seq. ("FEHA") and the unfair employment practice under FEHA of requiring a psychological or medical inquiry. (*Id.* at 273-275.) The words "arbitration" or "arbitrate" do not appear anywhere in the decision, such that there was no holding that a misclassification by an employment agreement, intentional or otherwise, makes an arbitration provision in the agreement unenforceable.

Plaintiff's primary arguments address the unconscionability of the Arbitration Agreement and are not specific to the delegation clause. Plaintiff's argument that the delegation clause is unconscionable is not directed to the clause itself; rather, he argues the delegation clause is unenforceable because the Arbitration Agreement is unenforceable, citing *Rent-A-Center*.

Rent-A-Center, as well as *Malone* not addressed in the opposition to HireArt's motion, stands for the contrary proposition that unless the party opposing arbitration demonstrates the delegation clause itself is unenforceable, based on unconscionability for example, issues regarding the unconscionability or unenforceability of the Arbitration Agreement or the contract as a whole are to be decided by the arbitrator. The Court in *Malone* explained, "[W]hen a party is claiming that an arbitration agreement is unenforceable, it is important to determine whether the party is making a specific challenge to the enforceability of the delegation clause or is simply arguing that the agreement as a whole is unenforceable. If the party's challenge is directed to the agreement as a whole—even if it applies equally to the delegation clause—the delegation clause is severed out and enforced; thus, the arbitrator, not the court, will determine whether the agreement is enforceable. In contrast, if the party is making a specific challenge to the delegation clause, the court must determine whether the delegation clause itself may be enforced (and can only delegate the general issue of

enforceability to the arbitrator if it first determines the delegation clause is enforceable). [Citation omitted.]” (*Malone, supra*, 226 Cal.App.4th at 1559-1560 [emphasis added, citing *Rent-A-Center, supra*, 561 U.S. at 70].)

1. Delegation Clause is Clear and Unmistakable

The delegation clause in the Arbitration Agreement states in pertinent part: "The Arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve any dispute relating to the validity, applicability, enforceability, waiver, or formation of this Arbitration Agreement including, but not limited to any claim that all or any part of this Arbitration Agreement is void or voidable." The clause in subsequent language excludes certain specific determinations not applicable here.

The Court finds the language is clear and unmistakable, and consistent with delegation clauses found to be clear and unmistakable in other reported decisions. (*See Malone, supra*, 226 Cal.App.4th at 1557 [“The arbitrator has exclusive authority to resolve any dispute relating to the interpretation, applicability, or enforceability of this binding arbitration agreement.”]; *Aanderud, supra*, 13 Cal.App.5th at 892 [“the parties ‘agree to arbitrate all disputes, claims and controversies arising out of or relating to . . . (iv) the interpretation, validity, or enforceability of this Agreement, including the determination of the scope or applicability of this Section 5 [the “Arbitration of Disputes” section]. . . . ‘ This language delegates to the arbitrator questions of arbitrability and is clear and unmistakable evidence that the parties intended to arbitrate arbitrability,” holding in light of clear and unmistakable delegation clause, trial court erred in determining arbitration agreement was not procedurally or substantively unconscionable].)

The delegation clause passes the first requirement as it is clearly and unmistakably delegates to the arbitrator the authority to address arbitrability, validity, and enforceability issues.

2. Delegation Clause Not Revocable Based on Unconscionability

Plaintiff's primary arguments regarding unconscionability are directed to the Arbitration Agreement or the ICA as a whole (though he seeks to enforce the ICA by suing for breach of contract in his 2AC). He makes only a brief argument regarding unconscionability of the delegation clause unsupported by applicable legal authority.

Unconscionability requires proof of both procedural and substantive unconscionability, based on a sliding scale such that the greater the procedural unconscionability, the lesser the required showing of substantive unconscionability, and vice versa. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 114.)

As to procedural unconscionability, the delegation clause is arguably a contract of adhesion as part of a standard form contract, which provides some degree of procedural unconscionability. (Li Decl. ISO Opp. to Mot. ¶ 2.) The clause is the first sentence of the fourth paragraph of a multi-page Arbitration Agreement, which may add slightly to the degree of procedural unconscionability. Plaintiff alleges in his 2AC that he holds a PhD in mathematics and a Master of Science in Computer Science and that he is a "highly qualified mathematician and computer scientist" who has performed extensive work in artificial intelligence (2AC Intro. and Gen. Alleg. ¶ 1.) The fact that Plaintiff spent three minutes reading the ICA, however, appears to have been Li's decision and not based on any pressure put on

him by HireArt. (Li Decl. ISO Opp. to Mot. ¶ 3.) The Court finds only a modest degree of procedural unconscionability based on these circumstances, even liberally construing his unconscionability claim as being directed to the delegation clause.

The only argument regarding substantive unconscionability Plaintiff raises directed to the delegation clause is his contention that having an arbitrator determine a misclassification issue under Labor Code section 2775 is prohibited under California law or public policy. Plaintiff cites no legal authority whatsoever to support these contentions. (Opp. to Mot. Section VII.) HireArt cites contrary authority. (*Khalatian v. Prime Time Shuttle, Inc.* (2015) 237 Cal. App. 4th 651, 660 ["[S]tatutory claims are arbitrable when the parties' contract involves interstate commerce and is therefore governed by the FAA. [Citation omitted.] Given the preference for arbitration, and the broad language of the Agreement, plaintiff's claims that the Labor Code governs his compensation, and not the compensation terms of his Agreement with defendants, fall within the ambit of the arbitration clause," finding claims, including plaintiff's misclassification claim, should have been ordered to arbitration as the disputes were within the broad scope of the arbitration agreement].)

The Arbitration Agreement here contains similarly broad provisions and expressly encompasses Plaintiff's misclassification claim. (Howe Decl. Exh. G [ICA ¶ 12.b., "The Arbitration Agreement is intended to be as broad as legally permissible . . . [¶] [T]his Agreement applies, without limitation, to claims based upon or related to discrimination, harassment, retaliation, defamation, breach of a contract or covenant, fraud, negligence, trade secrets, unfair competition, wages, minimum wage and overtime or other compensation or any monies claimed to be owed, meal breaks and rest periods, termination, tort claims, common law claims, equitable claims, and all other federal, state, or local legal claims arising out of or relating to Contractor's relationship with the Company and performance and/or termination of work services for the Company and/or any type of claim arising out of an alleged employment relationship. Additionally, any claims or disputes regarding Contractor's Services and/or alleged employment status with Company, including without limitation any claims that a Contractor should be classified as an employee of Company is arbitrable and covered under this Arbitration Agreement." (Emphasis added.)].)

Given the *Khalatian* decision and the strong policy favoring arbitration under both federal and California law, the Court rejects Plaintiff's unsupported argument that the delegation clause is substantively unconscionable because it means the arbitrator will decide his misclassification claim.

E. Conclusion on Arbitration and Delegation as to Plaintiff's Claims Against HireArt

Plaintiff acknowledges the existence of the Arbitration Agreement and that he entered into the ICA with HireArt. He is suing to enforce the ICA against HireArt in his breach of contract cause of action. (2AC 1st C/A.) The delegation clause is clear and unmistakable. Plaintiff has not demonstrated that the delegation clause is unconscionable and unenforceable on that ground, or any other ground. The Court therefore concludes the delegation clause in the Arbitration Agreement should be enforced and Plaintiff's claims against HireArt compelled to arbitration.

F. Compelling Claims Against Snorkel AI to Arbitration, and Snorkel AI's Joinder in Motion

Snorkel did not file its own motion to compel arbitration but has filed a joinder with a supporting memorandum, joining in HireArt's motion which motion explicitly seeks to compel Plaintiff's claims against Snorkel to arbitration as well. Plaintiff filed a separate opposition to the joinder, raising many

of the same arguments he raised in opposition to the HireArt motion and also addressing Snorkel's theories supporting why arbitration of Plaintiff's claims against it can be compelled under the Arbitration Agreement.

Snorkel is not a party to the ICA. The general rule is that "only a party to an arbitration agreement is bound by or may enforce the agreement. [Citations omitted.]" (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 613.) The "Claims Covered by Arbitration Agreement" in the Arbitration Agreement in the ICA states: "Except as it otherwise provides, this Arbitration Agreement applies to any dispute that the Company may have against Contractor or that Contractor may have against the Company, and/or any of its: (1) officers, directors, employees, or agents in their capacity as such or otherwise, (2) successors or assigns; (3) vendors; (4) contractors, staffing agencies and professional employer organizations; and each and all of which (1-4) may enforce this Arbitration Agreement as a third party beneficiary. {" "}" (Howe Decl. Exh. G [ICA ¶ 12.b.] (Emphasis added.).)

HireArt and Snorkel posit three alternative theories for Snorkel to be able to compel Plaintiff's claims against it to arbitration, including agency, third party beneficiary, and equitable estoppel. The Court only needs to address the agency theory, as the Court finds under the law and facts, arbitration of the claims against Snorkel can be compelled on that basis.

HireArt and Snorkel argue that Plaintiff has alleged Snorkel is an "agent" of HireArt as the party to the Arbitration Agreement in his 2AC, and that those allegations are sufficient under applicable case law to require claims against the alleged agent to be arbitrated under an arbitration agreement signed by the principal. In the 2AC, Li alleges that "HireArt operates as a staffing and human resources platform, and acted as an agent and/or joint employer with Snorkel in engaging Plaintiff" and that "each of the Defendants was the agent, employee, partner, alter ego, and/or joint venturer of each of the remaining Defendants." (2AC, ¶ Parties 2.) As set forth in *Thomas, supra*, 204 Cal.App.4th 605, "a plaintiff's allegations of an agency relationship among defendants is [sic] sufficient to allow the alleged agents to invoke the benefit of an arbitration agreement executed by their principal even though the agents are not parties to the agreement." (*Id.* at 614-615.) (*See also Garcia v. Pexco, LLC* (2017) 11 Cal.App.5th 782, 788-789; *Dryer v. Los Angeles Rams* (1985) 40 Cal.3d 406, 418 [If, as the complaint alleges, the individual defendants, though not signatories, were acting as agents for the [signatory], then they are entitled to the benefit of the arbitration provisions. [Citation omitted.]"].)

While there has been some subsequent criticism of the Court's application of equitable estoppel doctrine in *Garcia*, the Court in *Garcia* also held that arbitration could be compelled in that case based on principles of agency, a distinct legal theory, where the plaintiff alleged a joint employer and agency relationship between the two defendants, as Plaintiff has here. (*See Soltero v. Precise Distribution, Inc.* (2024) 102 Cal.App.5th 887, 894-897 [declining to follow *Garcia*'s equitable estoppel holding, but stating "We note that this portion of the *Garcia* decision was not necessary to the result because the court also concluded that the nonsignatory Pexco could compel arbitration under a separate agency exception. [Citation omitted.] On that issue, the court again relied on the plaintiff's own allegations that Pexco and Real Time were joint employers acting as agents for one another. [Citation omitted.] Nothing we say here is intended to cast doubt on the court's application of the agency exception. [Citation omitted.]" (Emphasis added.)].)

Based on Plaintiff's own allegations in his 2AC and the foregoing authority, HireArt and Snorkel have

demonstrated that Plaintiff's claims against Snorkel may be compelled to arbitration under the Arbitration Agreement and the valid delegation clause.

Final Conclusion

HireArt and Snorkel have demonstrated the existence of an Arbitration Agreement entered into by Plaintiff. It is undisputed by the parties that HireArt is a party to the ICA with the Arbitration Agreement which Plaintiff signed reflecting his engagement for the services subject to his claims in the 2AC. HireArt and Snorkel have demonstrated based on Plaintiff's agency and joint employer allegations in the 2AC and applicable law that Snorkel may compel arbitration of Plaintiff's claims against Snorkel as well as HireArt. Plaintiff has not demonstrated that the delegation clause in the Arbitration Agreement is both procedurally and substantively unconscionable. It is therefore valid, effective and enforceable.

Plaintiff's arguments regarding the unenforceability of the Arbitration Agreement for unconscionability of the agreement as whole, or the unconscionability or unenforceability of the ICA, and the misclassification of his employment and validity of his designated independent contractor status, can be addressed with the arbitrator. Nothing in this ruling shall be construed to limit Plaintiff's ability to raise and address such arguments in arbitration.

11. 9:00 AM CASE NUMBER: C25-01312
CASE NAME: YANHUA XU VS. CHIACHIA HSU
***HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS AND REQUEST FOR ATTORNEY'S FEES AND COSTS**
FILED BY: HSU, CHIACHIA
TENTATIVE RULING:

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.

12. 9:00 AM CASE NUMBER: C25-01920
CASE NAME: CYNTHIA HARRISON VS. MATTHEW SARABIA
HEARING IN RE: MOTION TO QUASH SERVICE
FILED BY:
TENTATIVE RULING:

The Court, *sua sponte*, continues this matter to April 13, 2026, 9:00 am in Department 34. The Court shall issue the order.